

The Culture of Business, Finance and the Economy

Class 13 – 15 september

**Dr. Juan M. del Nido
Second semester 2025**

Today

Consultants IV: profitable uncertainty

McKinsey&Company

Automotive revolution – perspective towards 2030

How the convergence of disruptive technology-driven trends could transform the auto industry

Prepare for uncertainty: €

Adapt the organization: /

Reshape the value proposition:

Recap

Consultants and rhetorical technologies: Microsoft Excel, PowerPoint and the like

Change Matrix

Division	Executive management			
	FTE ought	FTE current	Delta (absolute)	Delta (in %)
Exec OUs	62.00	60.17	1.83	3.0%
Division 1	13.00	12.99	0.01	0.1%
Division 2	1.00	1.00		-0.0%
Division 3	22.00	21.39	0.61	2.9%
Division 4	13.00	12.95	0.05	0.4%
Division 5	1.00	0.70	0.30	42.9%
Division 6	12.00	11.14	0.86	7.7%
Division 7	77.00	76.37	0.63	0.8%

A Definition of Resilience

When faced with adversities, it is the ability to:

Endure



Recover



Thrive



Recap

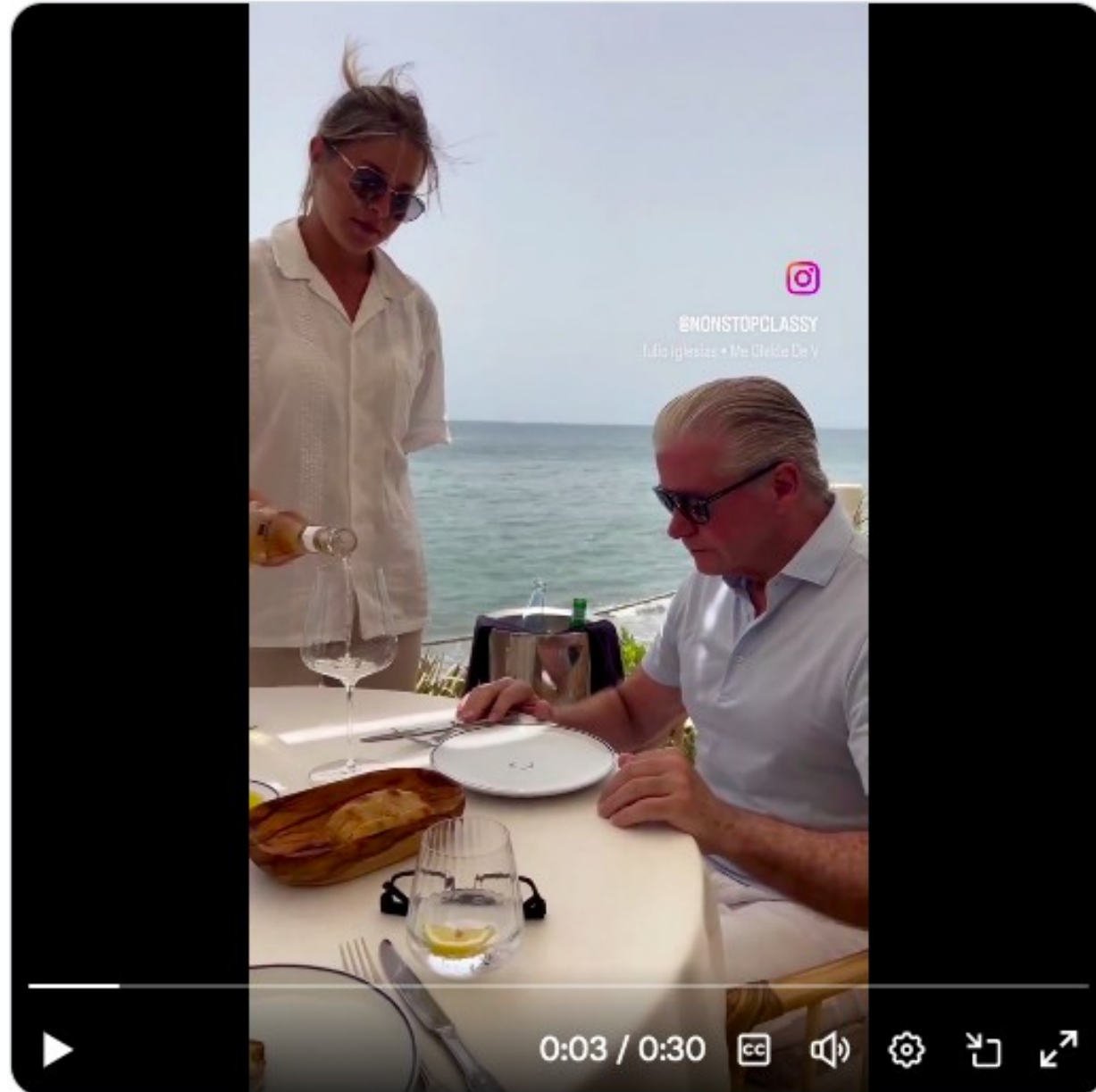
In the way they are **actually used, in the way they are designed and disputed (or not), Excel, PowerPoint, charts (and their numbers, bullet points, unfalsifiable statements) are rhetorical technologies: they serve to persuade.**



ConsultingHumor  @ConsultingHumor · Jul 26

...

me when i say some consultant buzzword bulls**t like “we must optimize the synergies to achieve our full potential”





ConsultingHumor  @ConsultingHumor · Feb 12



there are voices in my head that haunt me



Orwell & Goode  @OrwellNGoode · Feb 12

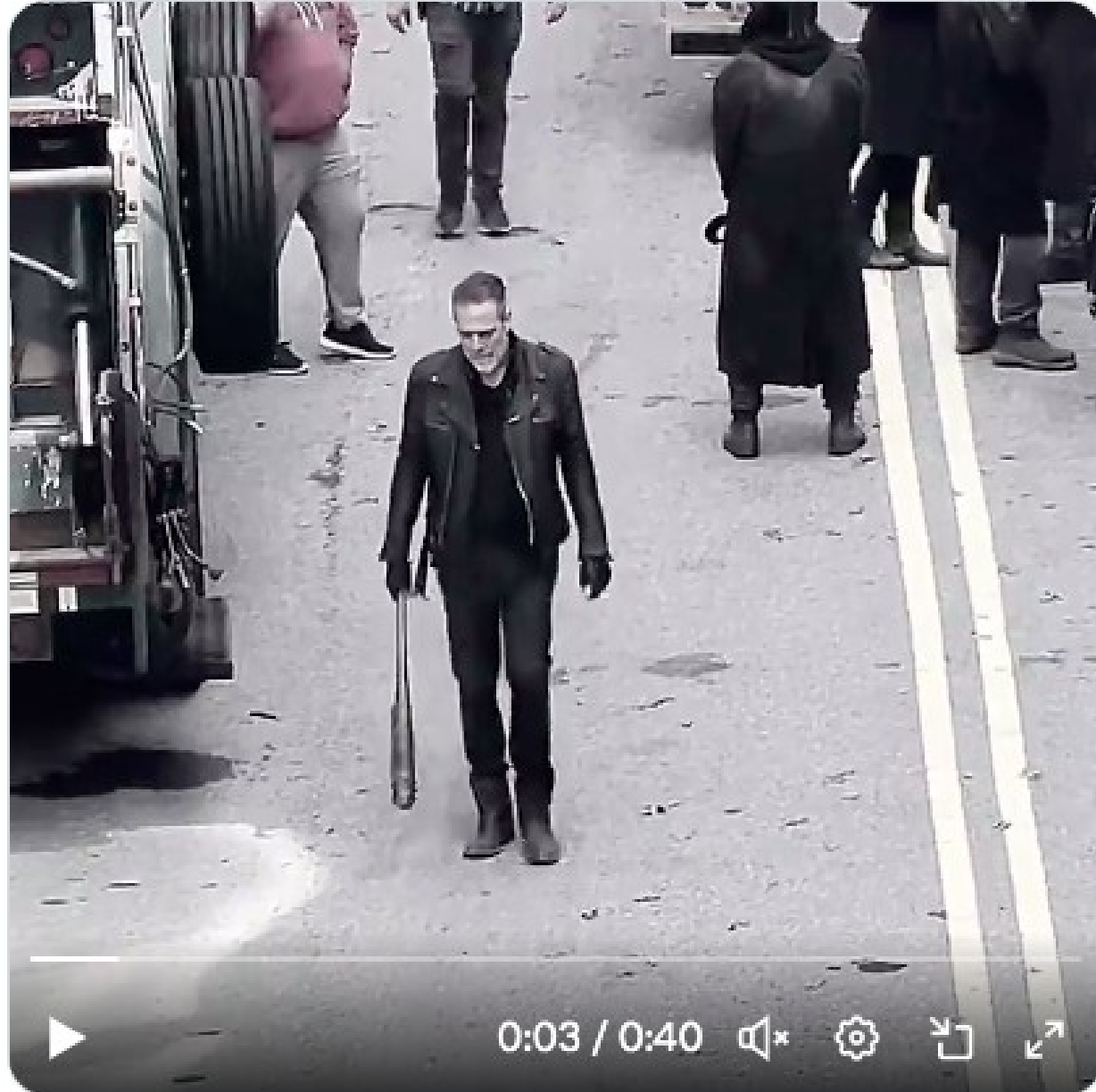




ConsultingHumor  @ConsultingHumor · Feb 13



McKinsey walking up to a new client when they have to rightsize them





ConsultingHumor  @ConsultingHumor · Feb 9



consultants when clients ask them to justify their fees



↳ ConsultingHumor reposted



Jeff Richards ✓ @jrichlive · Jan 13

McKinsey consulting fee: \$978,000



unusual_whales ✓ @unusual_whales · Jan 13

Walmart, \$WMT, unveiled a rebranded logo, and updated their brand identity.

Before:

After:



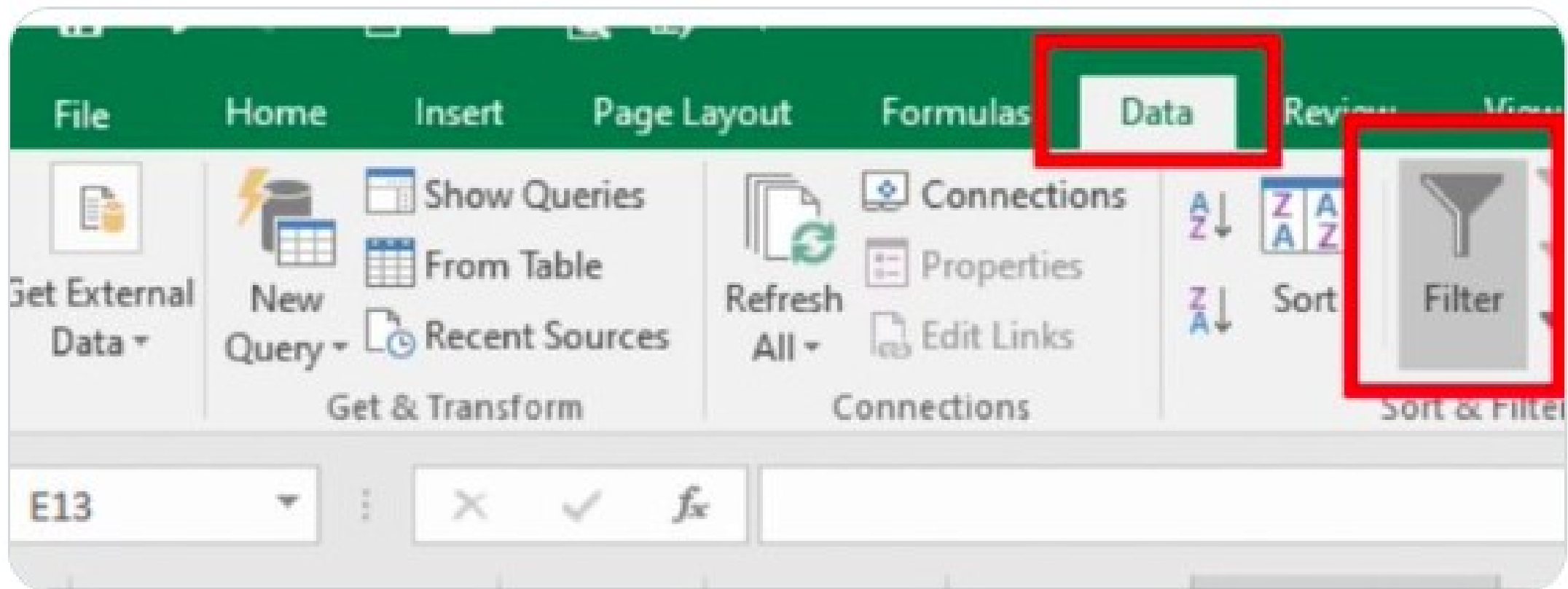


ConsultingHumor ✓

@ConsultingHumor



“consultants use sophisticated tools to parse through large data sets to generate strategic insights”
the tool:





ConsultingHumor  @ConsultingHumor · Jan 14



if consultants wrote news articles



NBC News  @NBCNews · Jan 26, 2022

New York City could see between 2 inches and 20 inches of snow this weekend. nbcnews.to/3lwdJbA



ConsultingHumor  @ConsultingHumor · Jan 6



they considered not hiring KPMG, but then KPMG advised them to hire KPMG, so they had to hire KPMG.



Boring_Business  @BoringBiz_ · Jan 5

Had they considered cutting consultant costs by... simply not hiring KPMG?



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**Ottawa paid nearly
\$670,000 for KPMG's
advice on cutting
consultant costs**



ConsultingHumor  @ConsultingHumor · Aug 17



24 year old analyst when the partner tells the client “we've assembled a team of experts to serve this work”





ConsultingHumor ✓
@ConsultingHumor



30 year industry veteran having to listen to a McKinsey presentation on transformational leadership





ConsultingHumor  @ConsultingHumor · Apr 9



consultants after they charge clients \$1 million just to tell them to increase revenues and cut costs





ConsultingHumor 

@ConsultingHumor



the most important part of any consulting project is to figure out how to sell more consulting projects

11:37 AM · May 11, 2025 · **18.8K** Views

CHAPTER SIX

Uncertainty at Work

This chapter argues that abstract labour lends itself to the construction and use of a specific kind of uncertainty, one that results in greater economic activity and is here called 'profitable uncertainty'. While economic observers from the world of insurance and finance have encountered different forms of profitable uncertainty before (LiPuma and Lee 2004), this chapter will show that it plays an important role in consulting as well, and probably in regimes of abstract labour more widely. In my field site, profitable uncertainty was a second major driver for work activity and it was established through three main movements: First, consultants postulated potential worlds, that is, alternatives to the actual, which were mostly considered attractive and attainable. Secondly, they held that economic subjects were capable of making free decisions. Finally, they tried to convince these subjects that their actions could have a relevant influence on whether or not potential worlds were brought about, via the engagement with consulting companies. While the first mechanism created the desire for a state other than the *status quo*, the second and third ensured that the mode of uncertainty established could be monetized.

**“consultants postulated potential worlds:
alternatives to the actual, **which were
considered attractive and attainable.**
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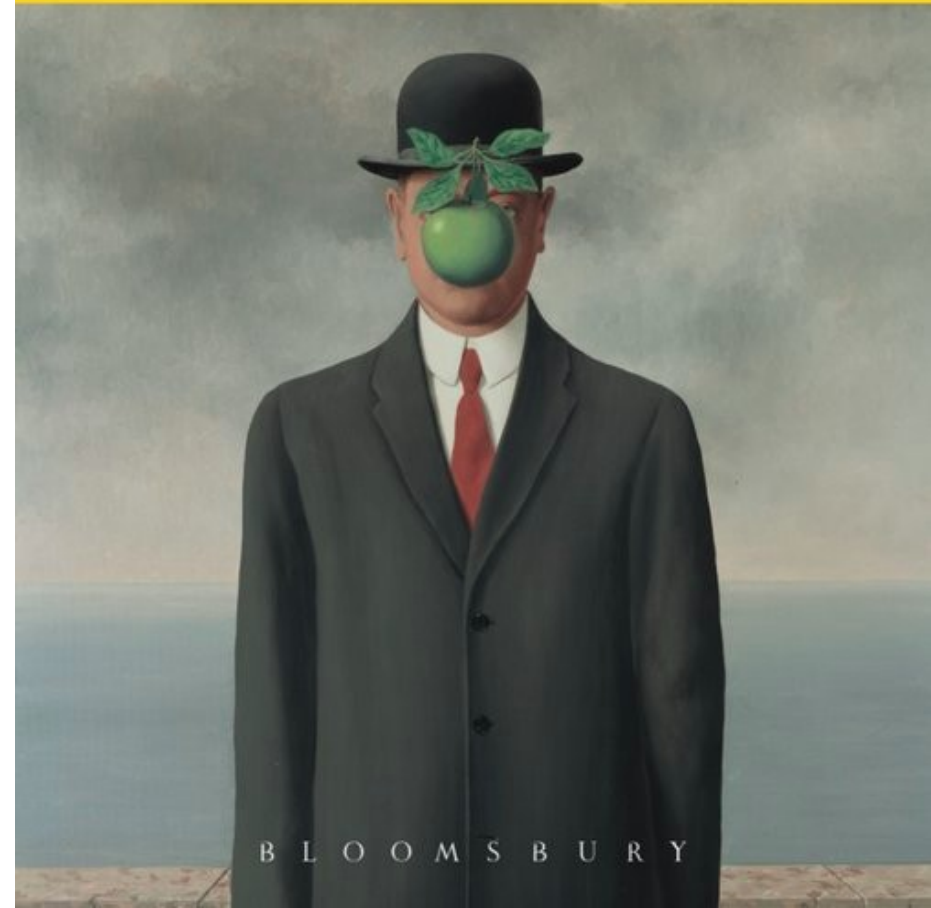
Example 1: German consultants pitch their business

LONDON SCHOOL OF ECONOMICS MONOGRAPHS ON SOCIAL ANTHROPOLOGY

WORK, SLEEP, REPEAT

THE ABSTRACT LABOUR OF GERMAN
MANAGEMENT CONSULTANTS

FELIX STEIN



Profit Acquisition Letter (PAL)

In 2013 I wrote a PAL to government officials of an African country. They were looking for consultants to improve public sector revenue, in particular through tax. We had worked with this government before: we modelled the PAL on successful PALs with the same country.

PALs led to client pitches: meetings where we explained in a PowerPoint presentation the project, who would be involved in it, what it would cost, what the clients' expected gains might be and why they should choose us.

It began with an overview of our company, our 'global' work, foregrounding that 'all of our consultants are graduates from leading international universities such as Harvard, Stanford, Oxford and Cambridge'.

The PAL outlined that our client had ‘ambitious goals’ that required ‘tremendous investment’, given the low levels of government revenues today. This suggested ‘significant **potential for [revenue] increase’, but pointed to the ‘inadequacy of the current sources of income and the **challenge** ahead’.**

This double idea of **an inadequate present and an attractive future was communicated via reference to so-called ‘revenue gaps’**

“[These weaknesses] result in ‘revenue gaps’ between revenues that ought to be obtained and revenues that are actually achieved. [There is] a need to ... quantify the revenue gap for each revenue category, and ultimately generate detailed policy measures to close the gaps and achieve potential revenues.”

“the gap”



Innovative Finance, Risk and Strategy Consultants

About Us

OUR EXPERIENCE

GAP Consultants stand at the forefront of Finance, Risk, and Strategy, boasting over 20 years of transformative experience in Sub-Saharan Africa. Our seasoned team brings to the table innovative approaches and advanced solutions, anticipating and revolutionising risk management amidst technological and resource gaps.

Let's Close the Gap



www.greengapconsulting.com

February 7, 2024

INTRODUCING GREEN GAP CONSULTING

We're delighted to launch dedicated sustainability services through [Green Gap Consulting](#). Green Gap Consulting's vision is to close the circularity gap and help clients achieve their sustainability and environmental goals. Led by Dr Linus Naik, the Green Gap team is committed to championing a suite of offerings focused on sustainability.

WHY IS THE GAP A GREEN ONE?

Hi there. I'm Dr. Linus Naik. I've been with [Don't Waste](#) for just over ten years now. In that time, I've had a plethora of roles and responsibilities; with everything from waste diversion solutions, to sustainability and reporting and even software and business development. One core tenet has held throughout these roles, and that is adding value to our clients to help them achieve their sustainable goals.

Over the years, my team has grown and our clients' needs have changed. We've noticed, in the sustainability portfolio at least, a divide between what our clients intend to do and what they actually achieve – a Green Gap. Unfortunately, the sustainability industry is currently plagued with greenwashing, which only Widens the Gap. Our approach has always been to go back to first principles, and then to build up a bespoke solution, factoring in the three Cs: Compliance, Cost, and Carbon.



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Mind The Gap Consulting

“The Gap” as a rhetorical device

Gaps can be ‘bridged’, ‘filled’ or ‘closed’. Thus, in postulating gaps rather than differences, otherness or apartness, we made the assertion that something was not right, but that it could be fixed if only it was acted upon. Consultants frame events as “gaps” to make room for their intervention.

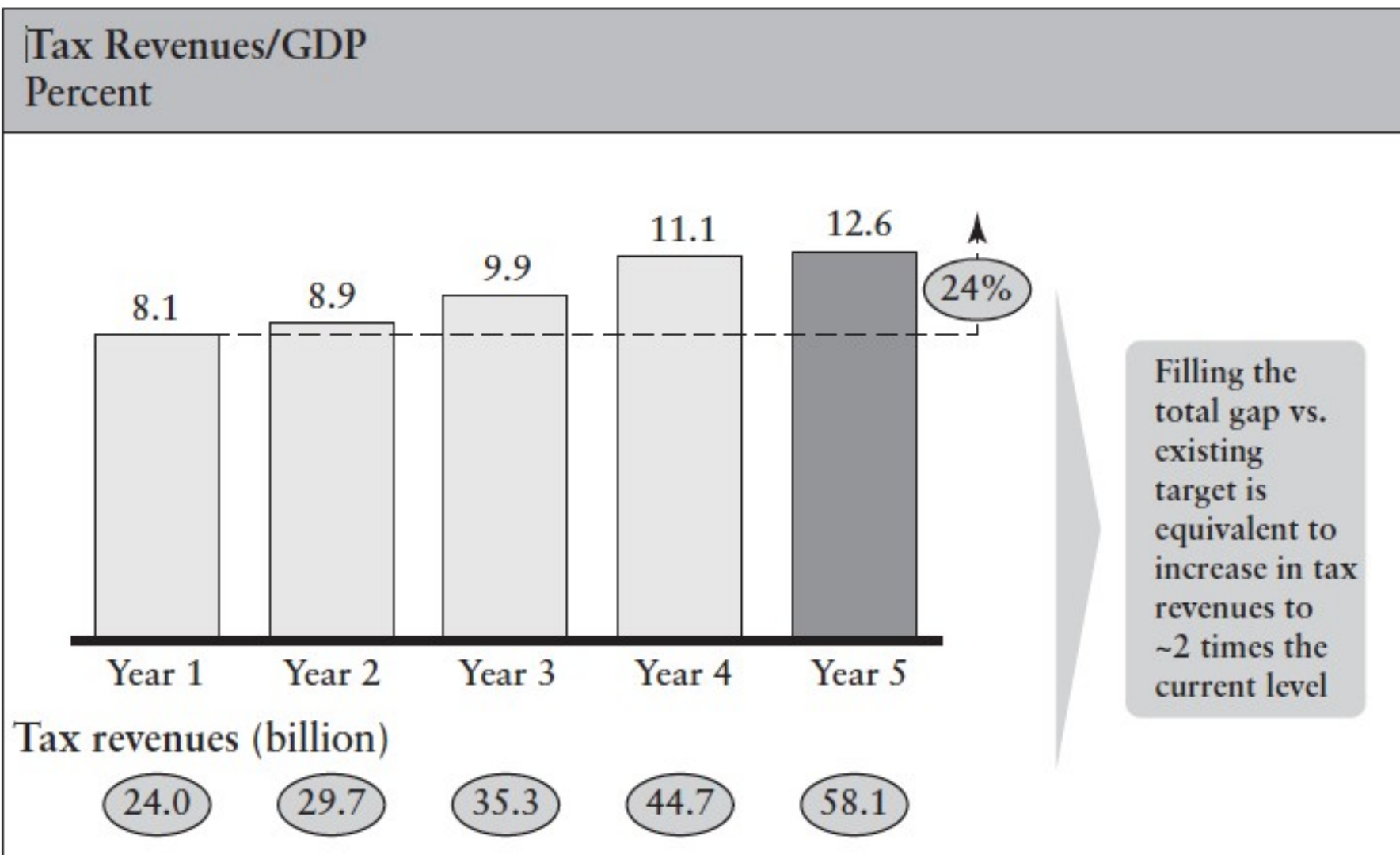


FIGURE 3 *Gaps in a slide.*

Gaps

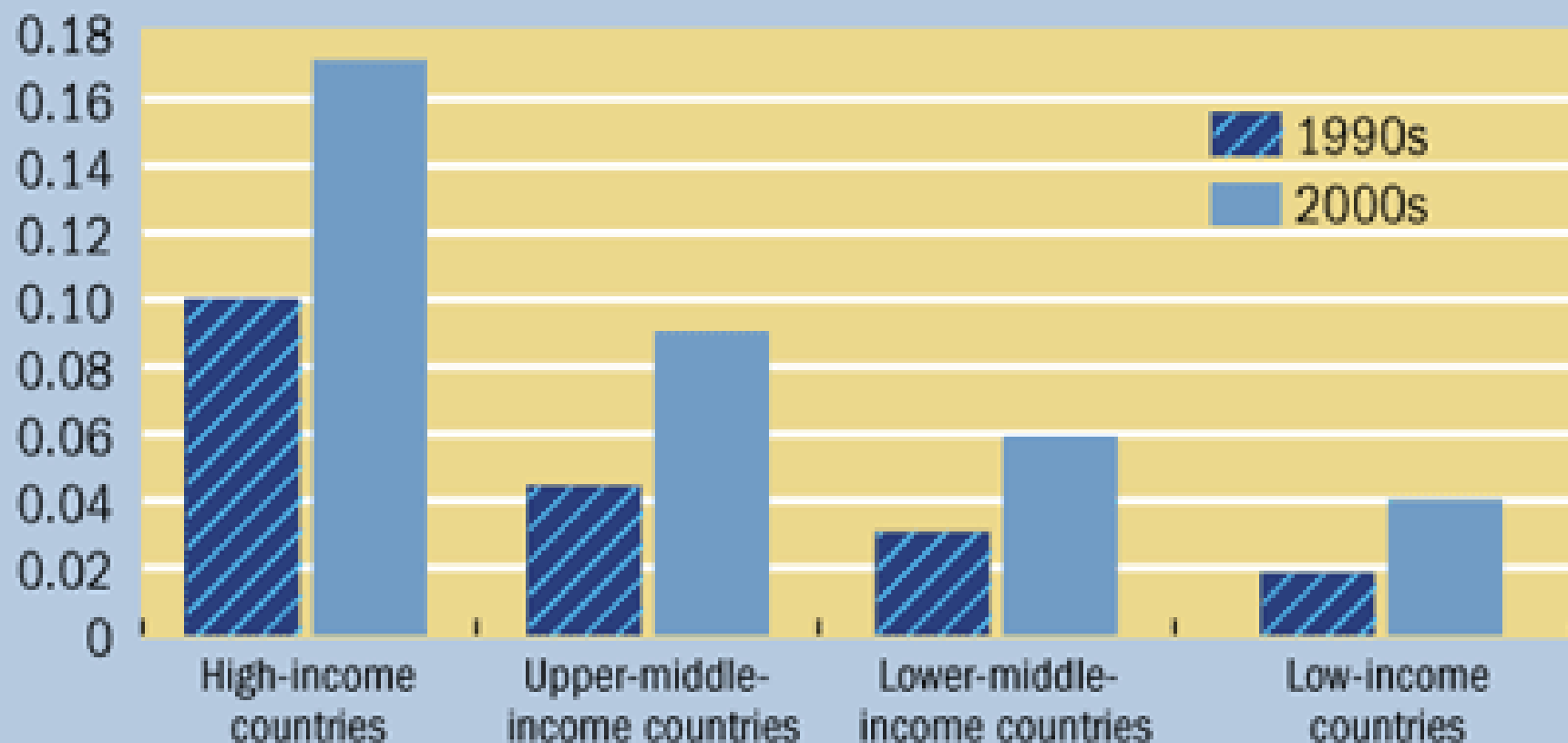
Often represented with technologies that enable **quick, intuitive commensuration**: streamlined numbers, bar charts, colour-coded shapes, etc.

(remember: numbers)

The very notion of “gap” compares an entity to a potential: an ideal, a desired future, a current top performer. This logic works across contexts or contents of the gaps in question. Gaps between countries, companies, business units, tax revenues or salespeople always pointed at the better-performing entity as a **potentially achievable endpoint.**

... but the technology gap between high-income and low-income countries remains wide.

(technological achievement index)¹



¹Aggregate measure that combines 20 separate indicators of technological achievement.

Estimated Total Fertility Rate minus Average Ideal Fertility of Reproductive Age Women

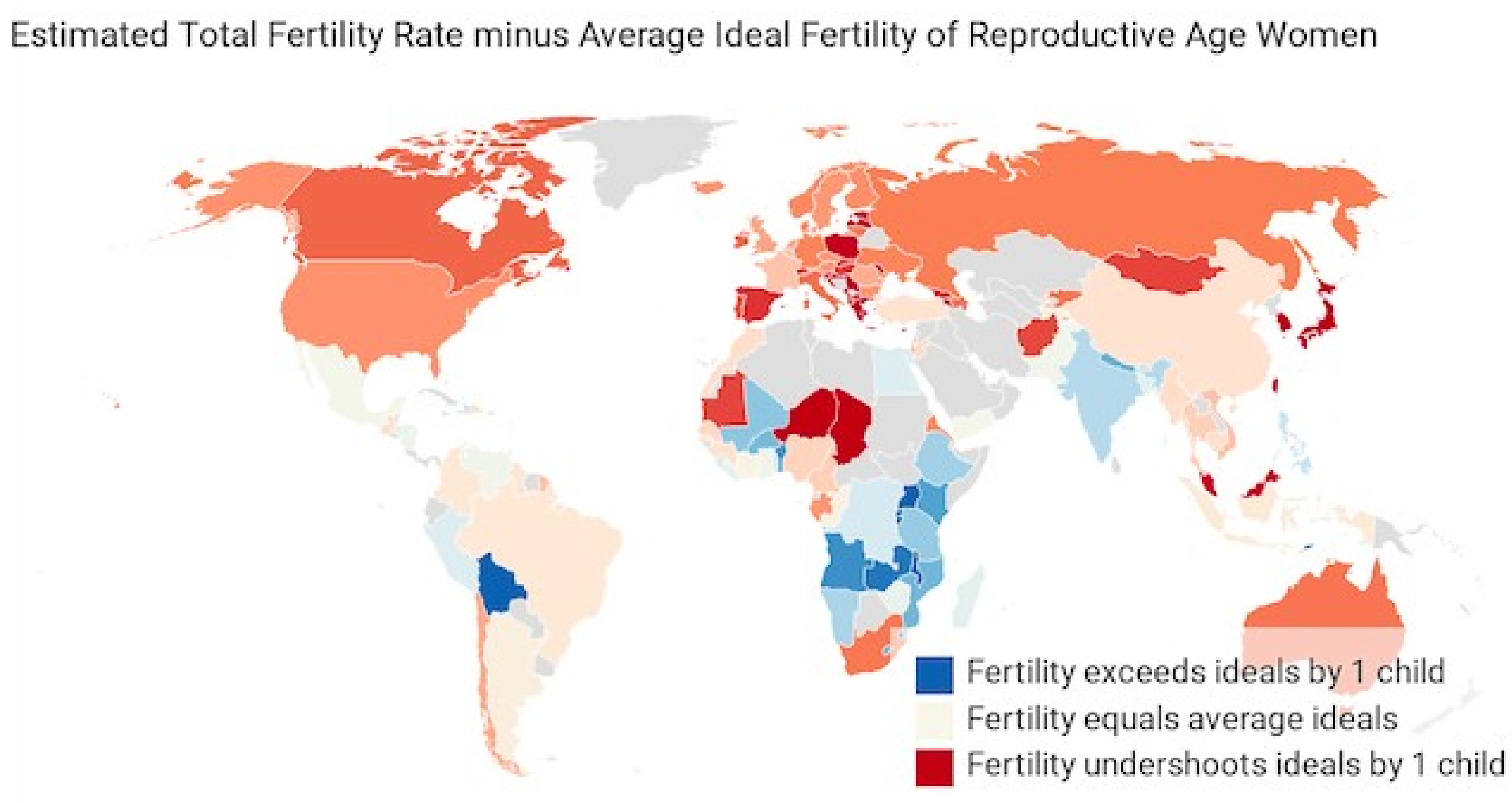
The map displays the following distribution:

- Dark Blue (Fertility exceeds ideals by 1 child):** Primarily found in sub-Saharan Africa, including countries like Nigeria, DRC, and others.
- Light Yellow (Fertility equals average ideals):** Found in countries like Mexico, Brazil, and parts of South America and Asia.
- Dark Red (Fertility undershoots ideals by 1 child):** Found in countries like Japan, South Korea, and parts of Europe and Asia.

Estimated Total Fertility Rate minus Average Ideal Fertility of Reproductive Age Women

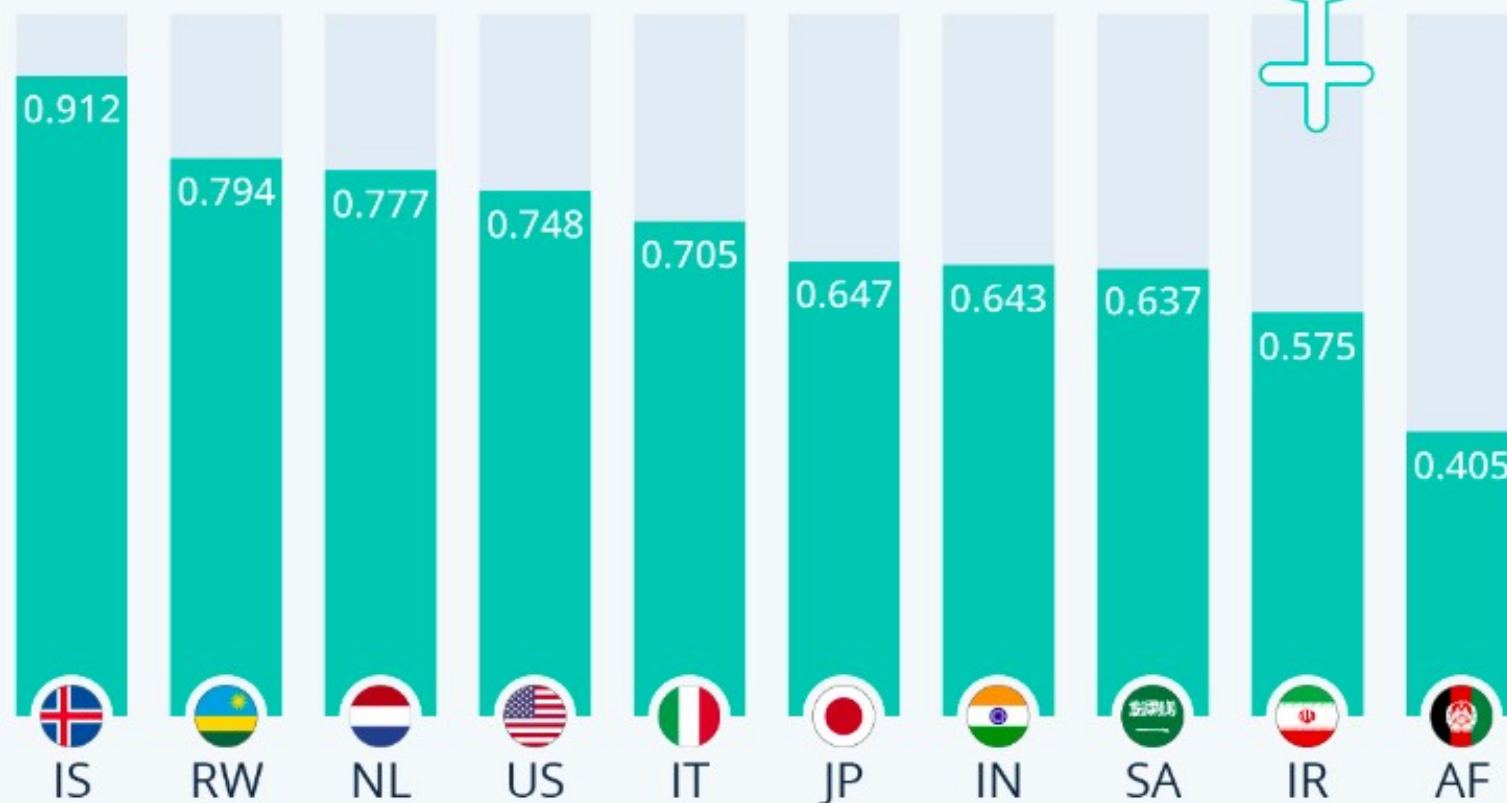
The map displays the following categories:

- Fertility exceeds ideals by 1 child (Dark Blue)
- Fertility equals average ideals (Light Yellow)
- Fertility undershoots ideals by 1 child (Dark Red)



How Close Are Countries to Closing the Gender Gap?

Global Gender Gap Index 2023 rankings
(1.0 = full gender parity)*



* Based on economic participation and opportunity, educational attainment, health and survival, political empowerment

Source: World Economic Forum

A potential world desired by the client is **just out of reach. The expected future, as things are now, is undesirable: in this case, a government in the red.**

That potential world could be realized, if action – carried out with the help of consultancy experts – is taken right away.

When we discussed the PAL's 'storyline', we repeatedly stated we were convinced that the country in question **could raise much more revenue, **if only** tax collection practices were improved. No one was sure about the exact size of the potential increase or about the precise steps that the government needed to take, but the belief in a world that we *could* bring about remained intact.**

We recommended three main courses of action:

- (1) refining filing and documentation processes,**
- (2) introducing new analytic tools to find out if current revenue sources were sufficiently used,**
- (3) introducing 'performance-tracking measures' for government tax collectors.**

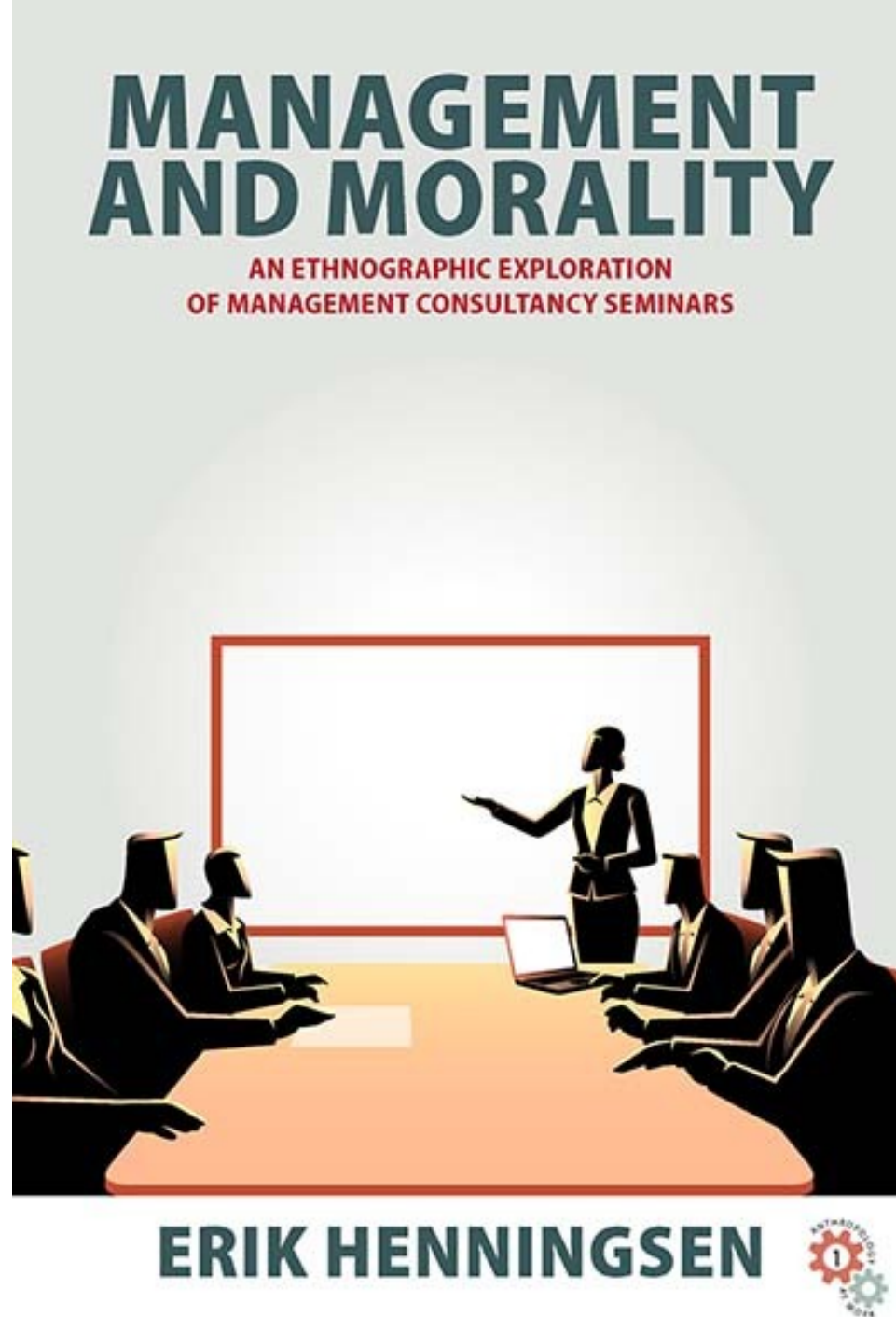
The client could choose which one to engage to what extent. All would provide consultants with additional projects over the years to come.

We offered options, not specific suggestions; consultants should simply outline to their clients what their options were. Why options?

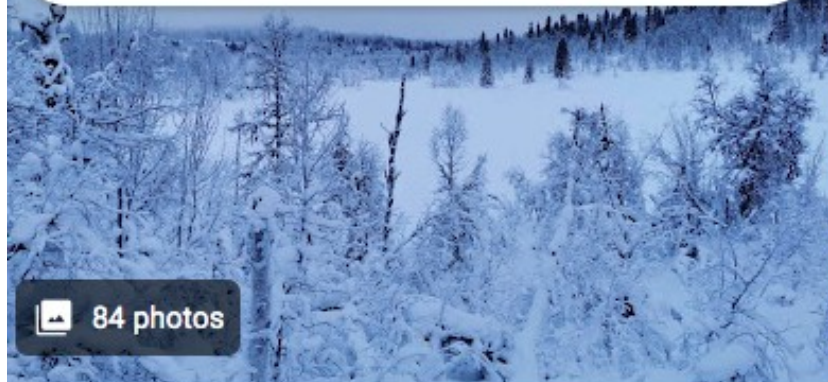
**shift the burden of the
decision and hedge for
failure or disappointment.**

Break

Example 2: Norwegian management consulting



Syndinfjeld



84 photos

Syndinfjeld

Synnfjell

4.6 ★★★★★ (11)

Mountain range

Overview

Reviews



Directions



Save



Nearby



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phone



Share



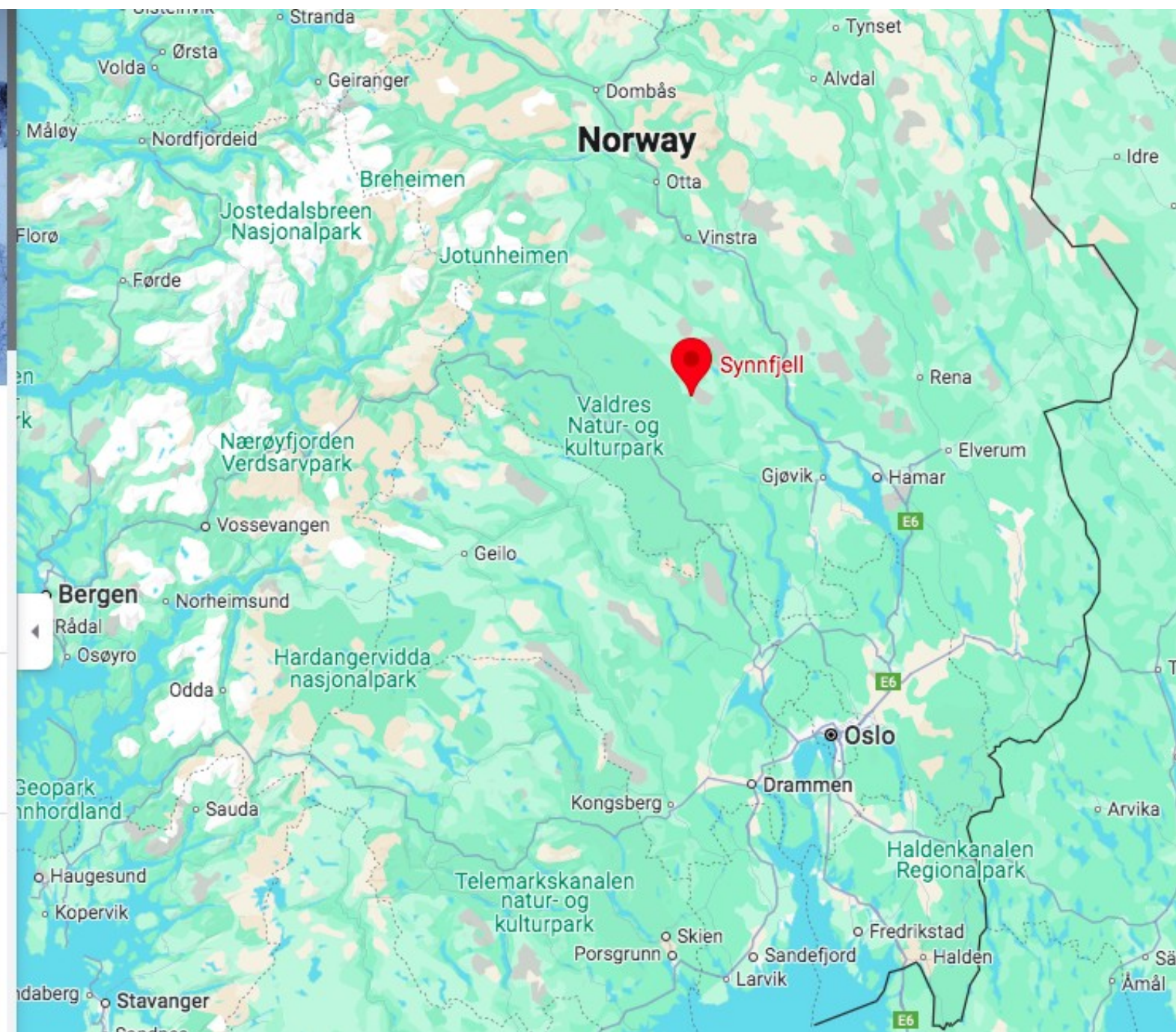
2880 Nord-torpa, Norway



Your Maps activity



Add a label



Linnfjell (?)

“until recently Norindustry took care of everything. The fire department, the nursing home... the snow in the streets during the winter”

***The Over the Edge Project:
Future Value Creation in
Linnjfell***

Six seminars, three hours each; 45,000 USD

Local government, union reps; students from the local high school; businesspeople; local and national development NGOs

Describing future scenarios for the town and developing “proposals for a vision and strategies for the local community”.

The third time “outsiders” (the consultants) had been hired to provide solutions.

The consultant, Pettersen, explained this new reality would allow people to 'be themselves': The people of Linnfjell would turn the economic tides, able to realize themselves as complex emotional beings, and social divisions and antagonisms would be replaced by a harmonious community.

He asked: what did a thriving community need?

Participants came up with 'jobs', or 'night clubs'. Pettersen said a positive attitude was crucial: 'You need faith to make it happen!'. Everything could be realized, but to do so they had to believe in the future they desired: they needed initiative, creativity and a shared future vision.

Someone asked whether it wasn't money what they really needed (i.e. investments). Pettersen responded:

“don’t say money, say *strategy*. Strategy is created where there is energy, and energy is found where there is hope. The most important knowledge we have is hope. Will, knowledge, hope, that is what attracts capital. Where you find these things – strategy, will, knowledge – that is where the capital goes! You just need to focus upon your uniqueness instead of the problems”.

**Harness their creativity, will and enthusiasm
into engines of development.**

**One PowerPoint slide featured two quotations:
Ghandi's 'We must ourselves be the change we
wish to see in the world', and the consultant:
'Change always takes place in people. People
who believe in change and new direction are
therefore the material that development is
made of'.**

The people were tasked with constructing future scenarios for Linnfjell to imagine what was possible.

These were called 'Alp Village', 'Neo-industrial Growth', 'The Green Valley', and 'Miserable Linnfjell'.

The **'Alp Village'** scenario portrayed a full-scale tourism development based on the construction of alpine skiing facilities in the mountains. In **'Neo-industrial Growth'**, industrial production had been revived through R&D on renewable energy. **'The Green Valley'** envisaged a less commercially successful future, shaped by nature conservation, sustainable agriculture and preservation of the cultural heritage. **'Miserable Linnfjell'** described a situation of continued depopulation and social decay.

A local businessman, Torstein Moen, who was in the “Neo-Industrial Growth” group, grew so inspired that he had quit his job that morning to devote himself to some of the opportunities that had been brought to light in these discussions.

But then the project ended...

**...and the end product was a
seventy-seven-slide PowerPoint
presentation, which contained
the future scenario descriptions
worked out by the participants,
and proposals for a vision and
strategies for the local
community**

The 'Green Valley' group developed a sophisticated description, but the final presentation leaned more strongly to the 'Alp Village' scenario, so members of the 'Green Valley' group approached Pettersen to complain. Also, Moen was jobless.

Pettersen said that the presentation was not what mattered the most, but whether the project “succeeded in opening their eyes to new possibilities, whether it inspired and motivated them and fostered a sense of community among them”.

Over the Edge has prepared the ground for new ideas. To lift a local community ‘over the edge’ to freer thought patterns requires groundbreaking mental work. Thought patterns have been challenged, new cooperative relations established and images of the future have been created that shows possibilities rather than threats.”

Profitable uncertainty

**a kind of speech; a kind of
orientation**

Similarities?

Example: McKinsey's Report

The logo for McKinsey & Company, featuring a stylized city skyline with various building shapes in shades of blue and grey, set against a light blue background with a subtle dot pattern.

McKinsey&Company

Automotive revolution – perspective towards 2030

How the convergence of disruptive
technology-driven trends could
transform the auto industry

Prepare for uncertainty: Success in 2030 will require automotive players to anticipate market trends sooner and to explore new mobility business models as well as their economical and consumer viability. In order to do that, they need to proactively analyze consumer preferences and be aware that there are more similarities across city types than across regions. They also need to pay close attention to the changing demographics in key markets, especially the increasing urbanization and the volatility of the emerging economies, which make it difficult to predict sales volumes beyond 2020 in markets like China. A sophisticated level of scenario planning and agility is required to identify and scale new, attractive business models.

Leverage partnerships: With the industry evolving from competition among individual players towards new competitive interactions, but also partnerships and open, scalable ecosystems, OEMs, suppliers, and service providers need to form partnerships across and beyond the industry. They need to benefit jointly from sharing the costs of electric and autonomous vehicle technology and the necessary infrastructure. Those partnerships should also engage governments to develop regulation and architectures for new mobility solutions together. This also extends to joint efforts in public outreach for consumer education on the benefits and challenges of new technologies. However, despite collaborative efforts, OEMs in particular need to maintain control over their individual value creation and success in the emerging ecosystems.

APPLE PIE



PEEL CORE SLICE
6 Apples



TOSS WITH

1/2 cup brown sugar
1/4 cup sugar
1/4 tsp salt
1/4 tsp nutmeg
1/8 tsp ground cloves
2 tsp cinnamon
3 tbsp corn starch

Pour into crust
add decorated
top

Bake 75 min
@ 400°

To conclude